

Free Lunch **Global inflation**

A self-congratulatory inflation narrative at Jackson Hole

‘Humility and a questioning spirit’, as called for by Fed chair, would be a very good idea



From left: US Fed chair Jay Powell, Bank of Canada governor Tiff Macklem and Andrew Bailey, governor of the Bank of England, at Jackson Hole last week © AP

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Last week was the annual central bankers’ gathering at Jackson Hole in the American Rockies, an unmissable event for the great and the good of economic policymaking, and an occasion to exchange ideas and experiences relatively privately (access is strictly limited, and even the academic presentations are not streamed).

[The topic was](#) “Reassessing the effectiveness and transmission of monetary policy”. Reassessing effectiveness is a laudable goal, you might think. It naturally raises the question: what did the Jackson Hole attendees believe after the weekend was over that they hadn’t believed before they arrived? I would be delighted to be corrected, but my best guess is that the answer is “not much”.

Federal Reserve chair Jay Powell gave a [good speech](#) — the [news highlight](#) was a clear statement that “the time has come for policy to adjust”, ie start cutting interest rates — but one which was more an assertion of monetary policy effectiveness than a reassessment of it.

Powell offered a “narrative” of inflation’s rise and fall, combined with little rise in unemployment, that

attributes much of the increase in inflation to an extraordinary collision between overheated and temporarily distorted demand and constrained supply. While researchers differ in their approaches and, to some extent, in their conclusions, a consensus seems to be emerging, which I see as attributing most of the rise in inflation to this collision. All told, the healing from pandemic distortions, our efforts to moderate aggregate demand, and the anchoring of expectations have worked together to put inflation on what increasingly appears to be a sustainable path to our 2 percent objective.

Disinflation while preserving labor market strength is only possible with anchored inflation expectations, which reflect the public’s confidence that the central bank will bring about 2 percent inflation over time. That confidence has been built over decades and reinforced by our actions.

Regular Free Lunch readers know that [I care a lot about “observational equivalence”](#), that is to say, the fact that the observed data can fit several different explanations, which in turn have different implications for the right course of policy action.

Take the Powell narrative above, and consider whether you would lose any explanatory power by removing the references to “overheated” and “moderating” aggregate demand. You would be left with temporarily distorted demand composition (from services to goods), temporary supply constraints and anchored inflation expectations. Those, it seems to me, are sufficient to explain the recent inflation experience. But if so, what effective role was played by monetary policy?

There are two possible answers. One is that monetary tightening weakened the labour market, so that wage demands came down. The problem with this is that surely higher interest rates affect hiring and firing only indirectly through their effect on aggregate demand (that is to say, they weaken labour markets only if employers and workers see slowing demand for goods and services). But aggregate demand growth was gradually catching up with the pre-pandemic trend throughout the episode and continues to be robust. While the labour market has weakened, it could just as well be because post-pandemic job churn (remember the so-called “great resignation”?) has fully played itself out.

The other — which we hear consistently not just from Powell but all central bankers — is that monetary tightening prevented inflation expectations from going up, and that returned price-setting behaviour to the previous norm once temporary shocks had worked their way through the system. (Note that this weakens the case for a direct effect of central bank action on wage inflation: wage growth may moderate because price expectations do, regardless of whether monetary tightening had any direct effect.)

Here is what Powell had to say about “the critical importance of inflation expectations”:



Standard economic models have long reflected the view that inflation will return to its objective when product and labor markets are balanced — without the need for economic slack — so long as inflation expectations are anchored at our objective. That’s what the models said, but the stability of longer-run inflation expectations since the 2000s had not been tested by a persistent burst of high inflation. It was far from assured that the inflation anchor would hold. Concerns over de-anchoring contributed to the view that disinflation would require slack in the economy and specifically in the labor market. An important takeaway from recent experience is that anchored inflation expectations, reinforced by vigorous central bank actions, can facilitate disinflation without the need for slack.

The inflation anchor held, no doubt. But what in the recent experience demonstrates that “vigorous central bank actions” were instrumental in it holding? In other words, how can we know whether inflation expectations behaved well because people saw supply and pandemic shocks waning and inflation beginning to relent by itself, rather than because of anything central bankers did?

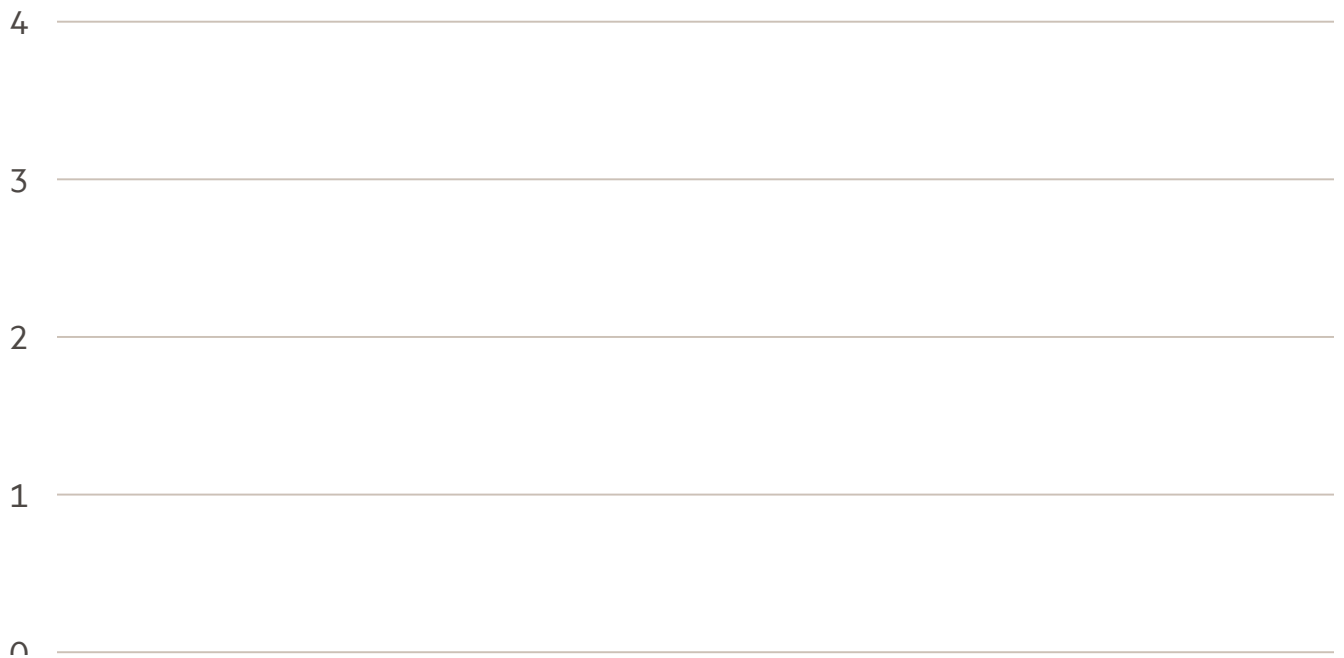
I think the best measures we have of inflation expectations are ones derived from the behaviour of those with money directly at stake — that is to say, professional investors who trade both nominal and inflation-compensated Treasury bills known as TIPS. The chart below shows three measures of US break-even inflation (implied by the different prices at which investors are willing to hold the two types of bond) at various stretches of time beginning at different points in the future:

Well-anchored market expectations of US inflation

Expected future (annual %) inflation as implied by inflation-protected Treasury bills, monthly average forward rates

2-year forward rate 2 years hence
5-year forward rate 5 years hence

10-year forward rate 10 years hence



The most sensible measure is the 5-year-5-year-forward (implied expectations of average annual inflation between five and 10 years from now). I included two others for completeness, but I feel the “2y2y” is a bit too close to current inflation and the “10y10y” stretches too far into the future to tell us all that much. In any case, they tell a story not too different from the 5y5y.

Which is, first, that inflation expectations have remained within the level of the first 15 years of this century (and that higher level was clearly compatible with low and stable inflation). Second, that the post-pandemic recovery brought expected inflation up from the doldrums, where expectations had lingered since the oil price falls in the early-middle of the past decade and years of slow growth. Third, that expectations stabilised around May 2021 (!), well before monetary policy changed.

Can central bankers take credit for this stabilisation? It's always possible to say, of course, that if inflation expectations are stable, it reflects confidence that the central bank will do whatever is necessary to stabilise inflation and that central bankers showed by their actions that they merited that confidence. It's always possible to say that because it is hard to think of facts that could disprove it. (In fact, [one of the papers](#) presented at Jackson Hole found that forecasters' expectations of how strongly the Fed would react to inflation changed *after* the first rate increase in March 2022 and were "highly uncertain" before that. But of course that could have been because of views that supply-driven inflationary pressures would go away without central bank action.)

So this does take us into [the domain of "Jedi central banking"](#), the notion that inflation is determined by how central bankers can directly work on people's minds. But if this belief is the basis on which monetary policy can be judged successful, the assessment risks being more self-congratulatory than self-questioning.

Powell finished his speech by stating: "The limits of our knowledge — so clearly evident during the pandemic — demand humility and a questioning spirit focused on learning lessons from the past and applying them flexibly to our current challenges." That is a very wise admonishment.

Other readables

As the EU is about to start a new five-year political cycle, my latest FT column argues that it's a good time to cast your mind forward and contemplate [what would make the period look like a success](#) in retrospect.

IMF researchers examine the [trade effects of China's subsidies](#).

To follow up last week's Free Lunch on Kamala Harris's economics, I found a piece [by John Cassidy](#) in the New Yorker and one [by Jen Harris](#) in the New York Times interesting.

Ukraine has [agreed a debt restructuring](#) with its private sector bondholders.

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